



**Center for International Mediators
and Arbitrators**

England & Wales

**Oxfordshire-Africa Forum on
International Arbitration**

**Law, Practice and Procedure in Domestic and
International Arbitration**

Alternative Dispute Resolution (ADR) and Mediation

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WHAT IS ADR?

Definition & Terminology

ADR stands for Alternative Dispute Resolution. Some proponents suggest that ADR stands for Appropriate Dispute Resolution since the processes used should be appropriate to the dispute in question. Others also refer to it as African Dispute Resolution or Amicable Dispute Resolution.

Alternative to Litigation

It is a spectrum of processes other than litigation, that can be used to resolve disputes.

ADR Methods

ADR spectrum includes negotiation, mediation, arbitration and a number of processes, some of which are variations or combinations of negotiation, mediation and arbitration.

WHY ADR?

The Need for Alternative Dispute Resolution

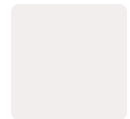
The emergence of ADR was in response to the many drawbacks of the traditional litigation court system.

Drawbacks of Traditional Litigation

- Interminable delays.
- Huge cost in terms of time and man hours.
- Acrimony.
- Posturing.
- Unfriendly court environment.
- Lack of confidentiality.
- Damaging of essential business and interpersonal relationships.

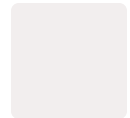
ADR SPECTRUM

Dominant Types or Primary Processes



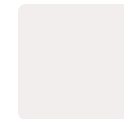
Negotiation

A process where parties attempt to resolve their differences directly without third-party intervention.



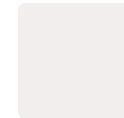
Conciliation

A process similar to mediation but where the third party may provide suggestions for resolution.



Mediation

A voluntary process where a neutral third party helps facilitate discussion and agreement.



Arbitration

American & British perspectives explained.

HYBRID PROCESSES

Mediation-Based Hybrids

- Med-Arb.
- Arb-Med.
- Med-Rec.

Trial-Based Hybrids

- Mini Trial.
- Summary Jury Trial.



HYBRID PROCESSES

Evaluation-Based Processes

- Neutral Evaluation.
- Neutral Fact Finding.

Trial-Like Processes

- Mini-Trial.
- Summary Trial.
- Private Judging.

Facilitative Processes

- Partnering.
- Confidential Listening.
- Settlement Conference.

CONSENSUAL & ADVERSARIAL

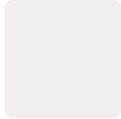
Adversarial Processes

Arbitration & Litigation (win/lose).

Consensual Processes

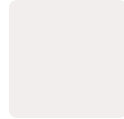
Negotiation & Mediation (win/win; both gain).

CHARACTERISTICS OF ADR



Informality

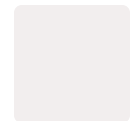
ADR processes are less formal than judicial processes. In most cases the rules of procedure are flexible. No formal pleadings, extensive written documentation, or rules of evidence.



Application of Equity

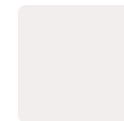
Promotes application of equity rather than the rule of law. Cases are negotiated between disputants with the help of a neutral third party, based on principles and terms that are equitable in particular cases.

CHARACTERISTICS OF ADR



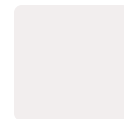
Direct Participation

More direct participation by disputants in the process and in designing settlements.



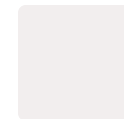
Enhanced Confidentiality

Higher levels of confidentiality since records are not kept for public consumption.



Limited Information Powers

No power to subpoena information.



Enforcement Limitations

Less direct power of enforcement.

MERITS OF ADR

Efficiency Benefits

- Saves time and money.

Process Advantages

- Procedural Satisfaction.
- Devoid of unfriendly Court Atmosphere.

Outcome Benefits

- Substantive Satisfaction.
- Confidentiality guaranteed.

Relationship Advantages

- Improved Communication and preservation of relationships.

LIMITATIONS OF ADR

Procedural Limitations

- Lack of Evidential and Procedural protection.
- Revelation of evidence or strategy.

Efficiency Concerns

- Non binding ADR may rather increase costs and time if matter goes back to court.

Legal Implications

- No recourse from a bad decision in respect of a binding ADR process.
- ADR processes do not provide binding precedent.

WHEN ADR IS NOT APPROPRIATE

Criminal Matters

- Generally in criminal matters.

Legal Precedent Cases

- When an issue is of such nature that there is need to establish legal precedent on it to prevent future similar litigation.

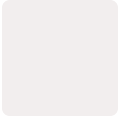
Constitutional Issues

- A matter of constitutional nature that demands judicial interpretation.

Urgent Relief Situations

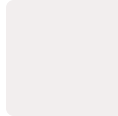
- When immediate provisional relief is needed.

WHEN ADR MAY BE THE BEST OPTION



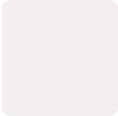
Cost Effectiveness

When the costs of litigation are likely to be higher than the amount in controversy.



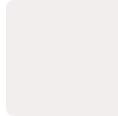
Time Efficiency

When disputants want quick resolution of the dispute.



Relationship Preservation

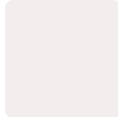
When litigation may destroy the disputants' on-going interests.



Confidentiality

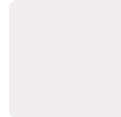
When a private forum for resolution of the dispute is required.

ADR LANDSCAPE IN GHANA



Legal Framework

In Ghana, ADR is governed by the ADR Act, 2010 (Act 798).



Purpose of the Act

AN ACT to provide for the settlement of disputes by arbitration, mediation and customary arbitration, to establish an Alternative Dispute Resolution Centre and to provide for related matters.

MEMORANDUM TO ADR BILL

BACKGROUND AND PURPOSE

This memorandum outlines the key objectives of the Alternative Dispute Resolution Bill.

KEY OBJECTIVES

- Replace the existing Arbitration Act.
- Bring law governing arbitration into harmony with international conventions, rules and practices.

INSTITUTIONAL FRAMEWORK

- Provide legal and institutional framework to facilitate and encourage settlement of disputes through ADR.

CUSTOMARY ARBITRATION

- Provide legislative support for customary arbitration.

APPLICATION OF ADR IN GHANA

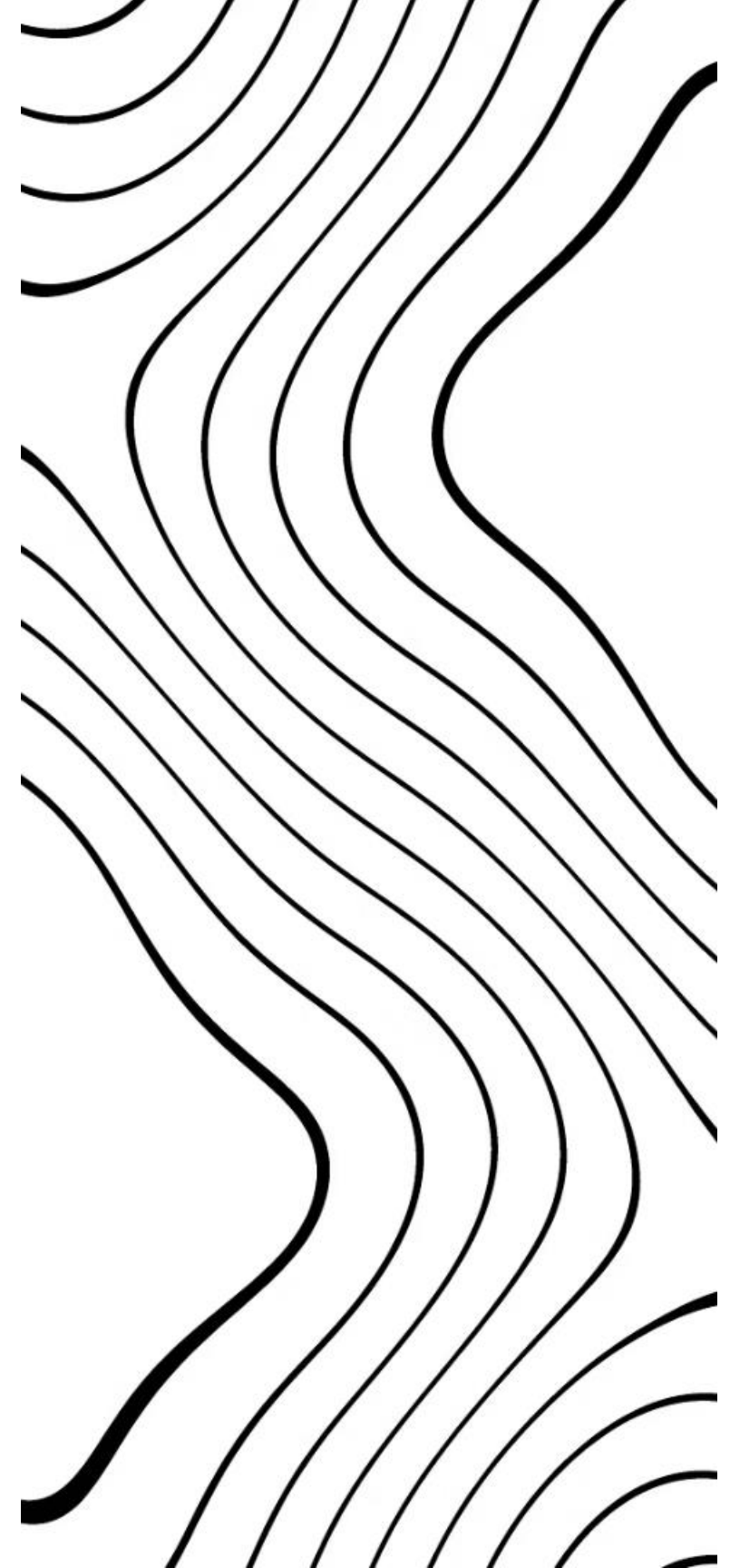
Statutory Basis

Application – Section 1 of the ADR Act provides as follows:

Exclusions from ADR Application

This Act applies to matters other than those that relate to:

- The national or public interest
- The environment
- The enforcement and interpretation of the Constitution
- Any other matter that by law cannot be settled by an alternative dispute resolution method



ADR PROCESSES UNDER ACT 798

Arbitration

- Part One ss. 1 – 62.

Mediation

- Part Two ss. 63 – 88.

Customary Arbitration

- Part Three ss. 98 – 113.

Negotiation for a Settlement

- S. 113 (Under Customary Arbitration).
- Details will be discussed under the various processes or mechanisms.



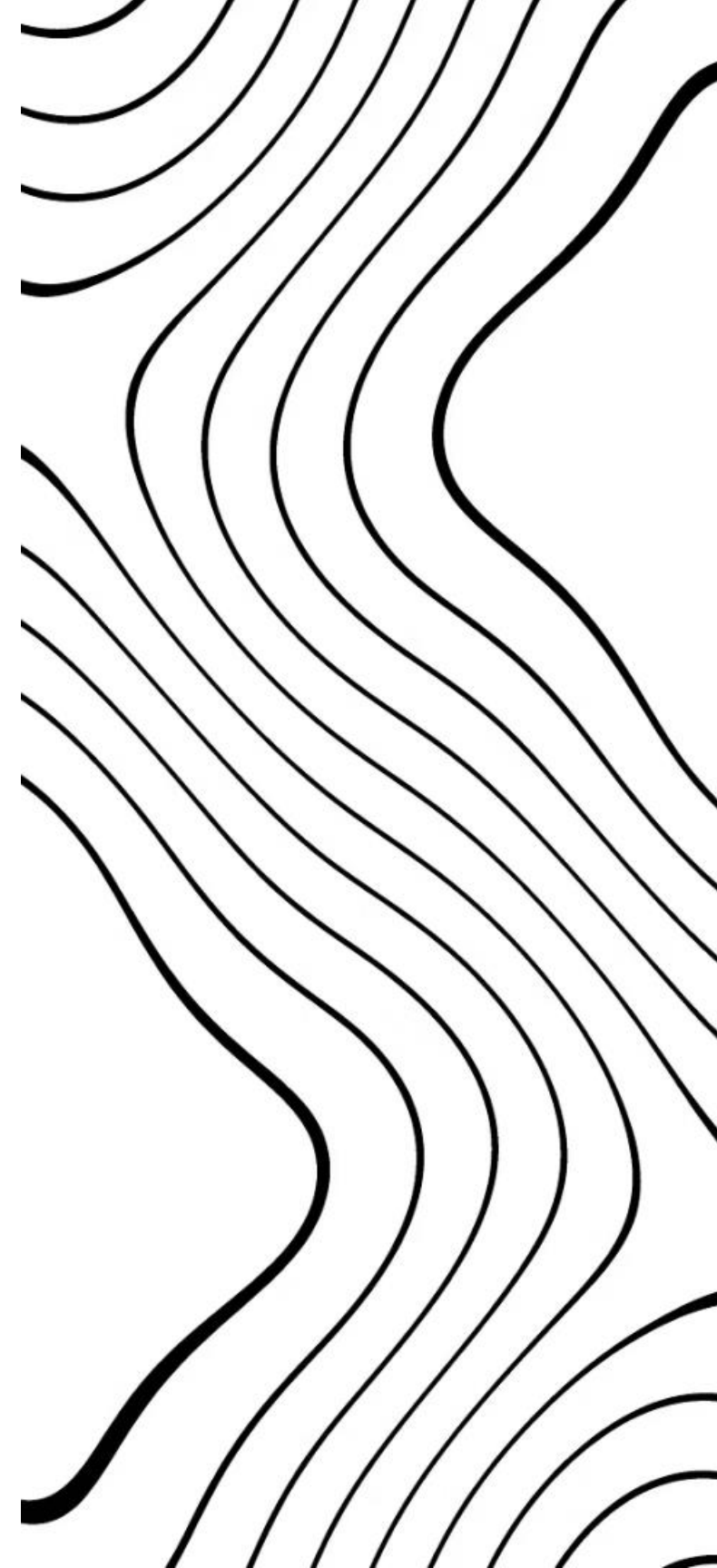
ADR SERVICE PROVIDERS

Overview

ADR Services Providers in Ghana include:

Statutory Organisations

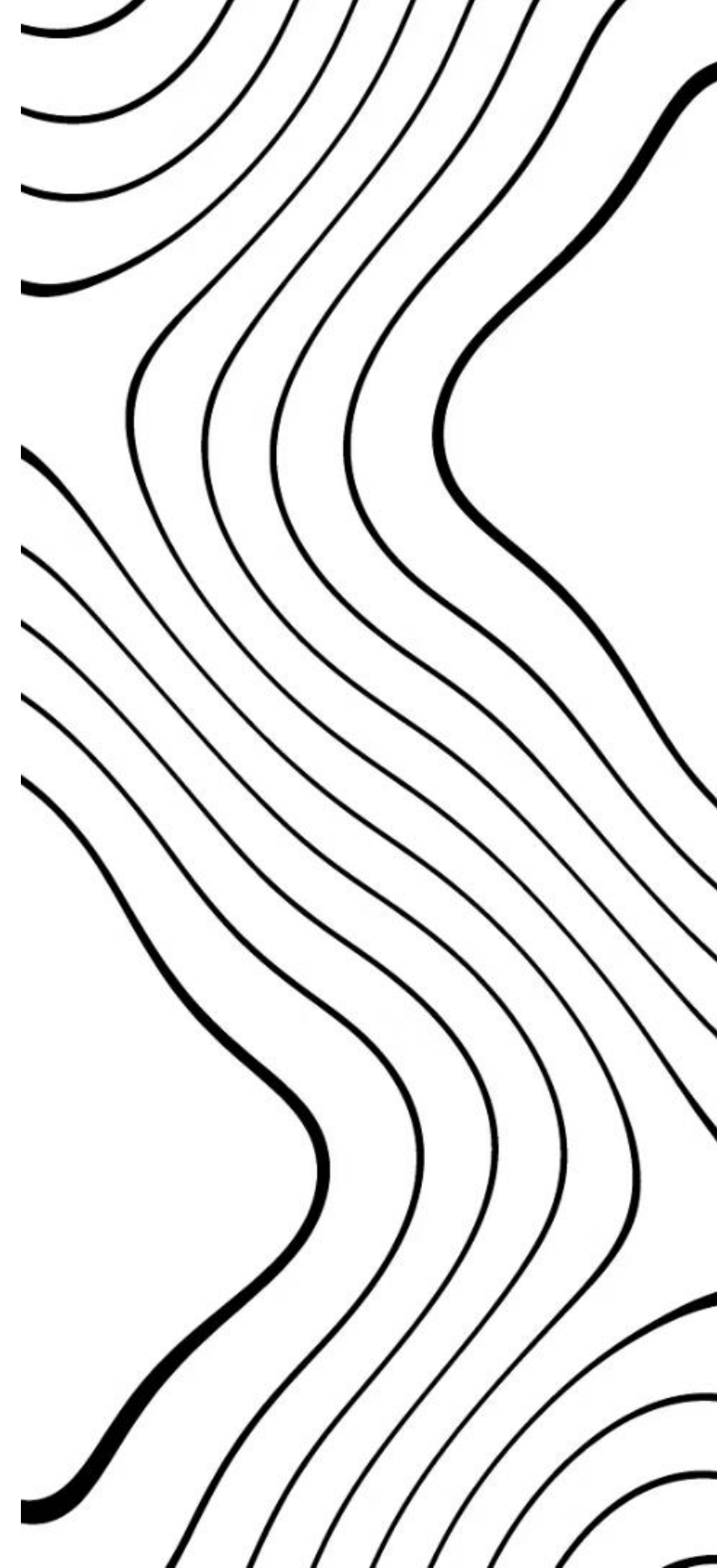
- The Commercial Courts
- The High Courts
- The Circuit Courts
- The District Courts
- The Labour Commission
- CHRAJ
- The Land Title Registry



ADR SERVICE PROVIDERS

Private Service Providers

- GHACMA
- The Ghana Arbitration Center
- The West Africa Dispute Resolution Center
- Center for International Mediators and Arbitrators
- The Federation of Women Lawyers
- The Commercial Courts
- Gamey and Gamey
- ADR Hub



Introduction to Mediation

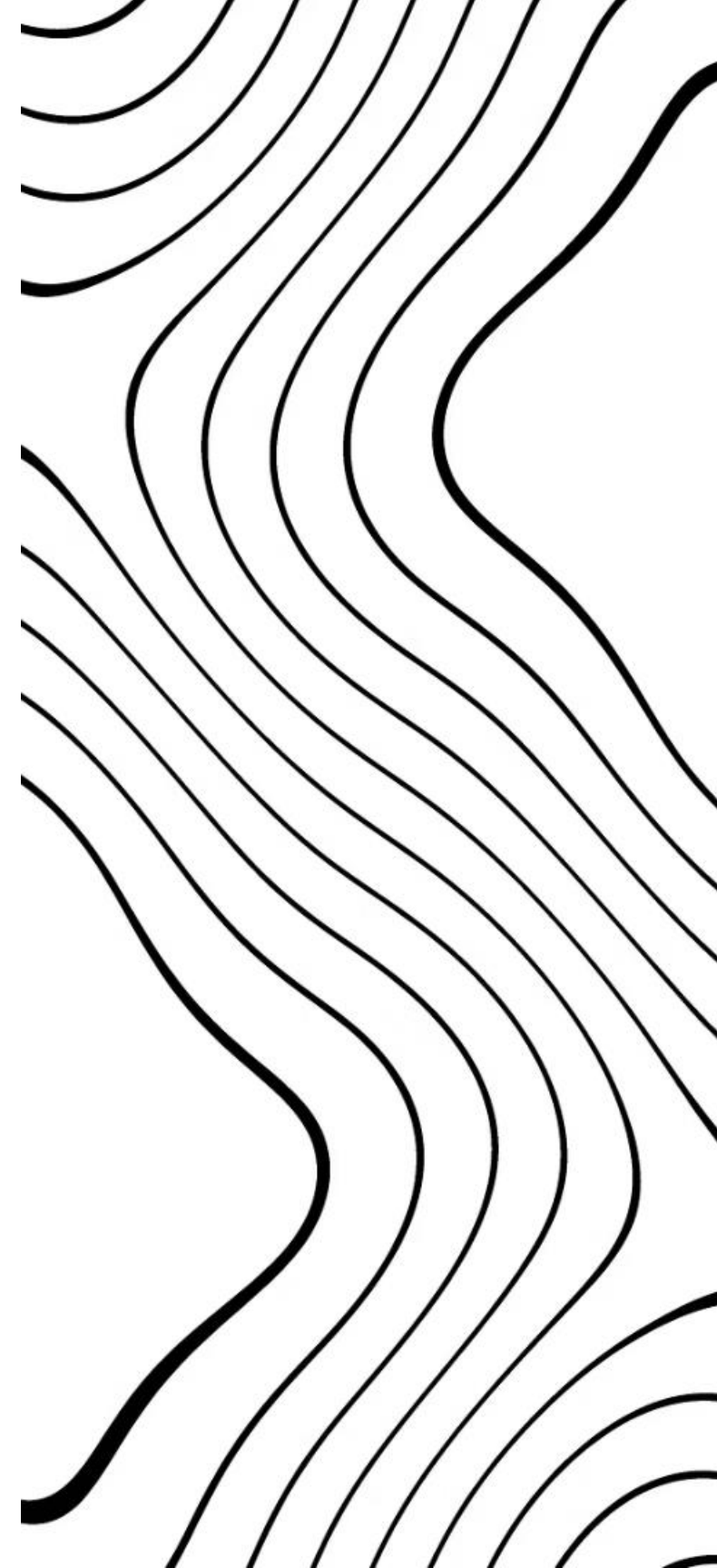
MEDIATION

Definition of Mediation

Mediation is a form of assisted negotiation.

Key Characteristics of Mediation

- Third Party Assists.
- Settlement is Voluntary or Consensual.
- Mediator has no power to decide.



MEDIATION UNDER ACT 798

Overview of Mediation Provisions

Part 2 covers mediation, from section 63 to 88. In this part, there are provisions as to how mediation may be started and ended.

Key Sections on Initiating Mediation

- Submission to mediation – s. 63.
- Reference to mediation by Court – s. 64.
 - Civil and criminal (Practice Direction 16).
 - Courts Act s. 73.

Procedural Requirements

- Representation in mediation – s. 71.
- Date, time and place of mediation – s. 72.
- Powers of mediator.

MEDIATION UNDER ACT 798

Communication & Attendance

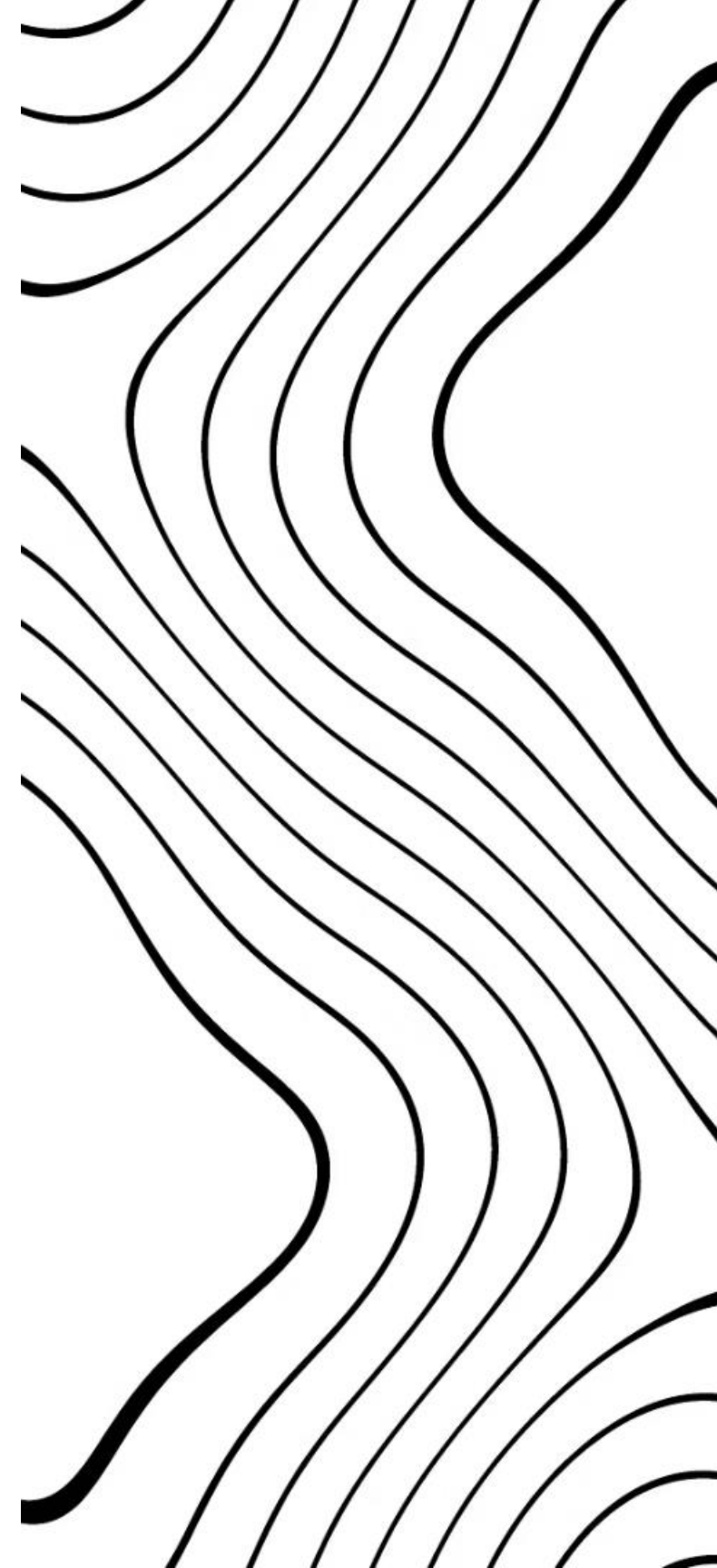
- Communication between mediator and parties – s. 76.
- Attendance at mediation – s. 77.

Confidentiality & Settlement

- Requirement of confidentiality - s. 79.
- End of Mediation – s. 80.
- Effect of mediated settlement – s. 82.

Financial Aspects

- Mediation expenses – s. 87.
- Deposits – s. 88.



What Mediation Does Not Intend to Do:

- Judge guilt or innocence or wrong or right.

What Mediation Hopes to Achieve:

- Provides opportunity to achieve the following:

Mediation Benefits:

- Provide environment that is congenial or comfortable for disputants to vent or diffuse feelings.
- Clear up misunderstandings.
- Determine underlying interests and concerns.
- Find areas of agreement.
- Incorporate areas of agreement into solutions devised by parties themselves.

Understanding the Mediator's Role

What a Mediator is NOT:

- He/she is not a judge.
- No power to render a judgement or an award.
- Not a lawyer acting as advisor to one side.
- Not a counselor. **Reality testing can be done in caucus.**

What a Mediator IS:

- He/she is a neutral/impartial third party.
- He/she is unrestrained by evidential rules.

The Mediator's Unique Function:

- Can therefore, assist the parties to focus more on the true basis of their dispute and on future remedies rather than on punishment, revenge or responsibility for past events.

What the Mediator Needs to Learn to Do (Rolf Kessel)

Fundamental Attitudes

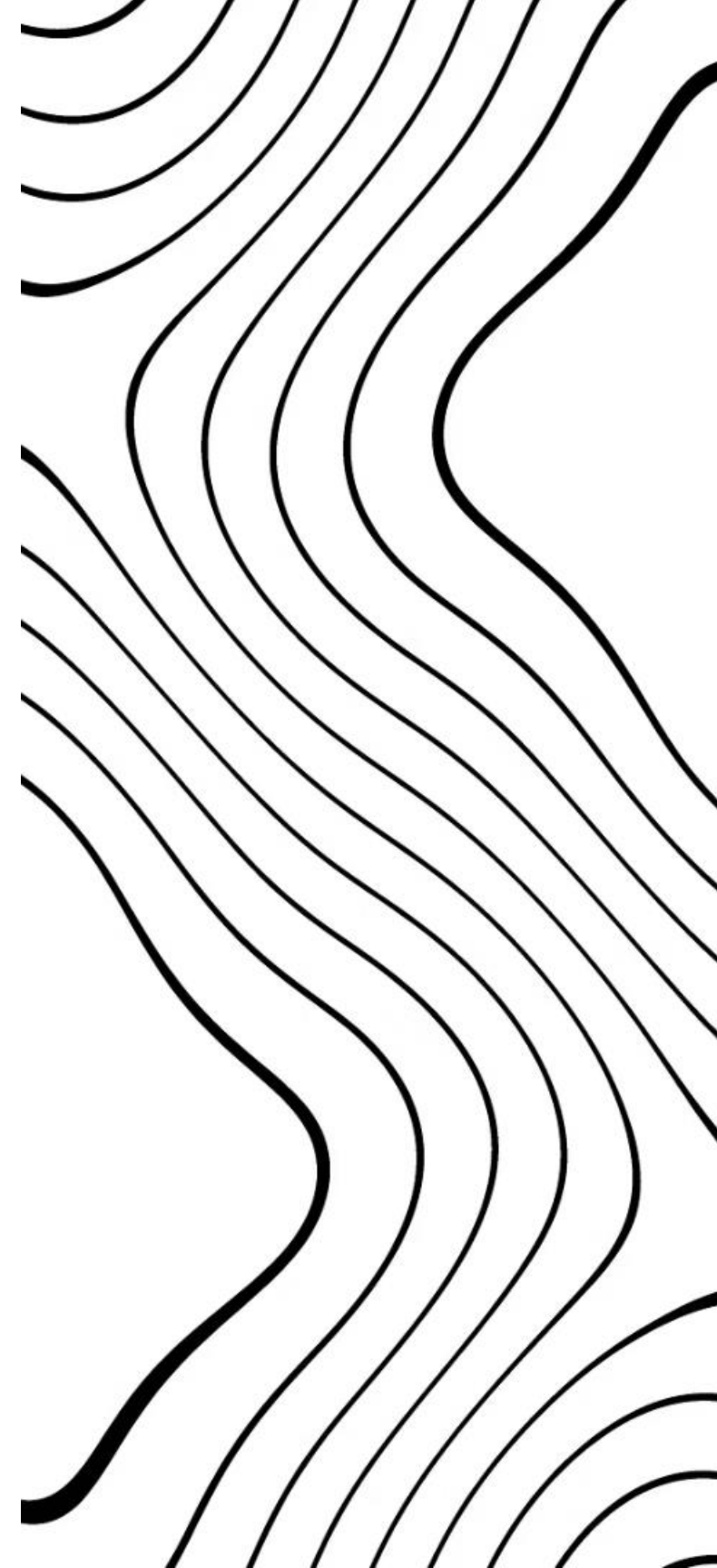
- Learns not to be judgmental.
- Learns to be impartial.
- Learns not to impose his/her solutions on others.

Communication Skills

- Learns to be an active/good listener.
- Learns to be a good communicator.
- Learns to appreciate emotions.
- Learns to be empathic.

Professional Conduct

- Learns to be flexible.
- Learns to understand diversity in mindsets and attitudes.
- Learns good conduct even under stressful situations.
- Learns to set an example for others.



THE ESSENTIALS OF A MEDIATION PROCESS

Voluntary Participation

- Voluntary.

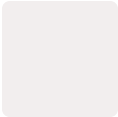
Confidentiality Principles

- Private and confidential.

Legal Protection

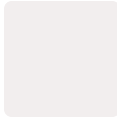
- Without Prejudice.

ROLES OF A MEDIATOR



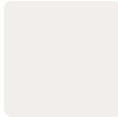
Facilitator

- Keep discussion moving by directing conflict to become impetus.
- By phrasing & rephrasing areas of possible agreement.



Opener of Communication Channels

When the parties are not talking to each other.



Translator & Transmitter of Information

- Parties may be talking but not "**listening**".
- Parties may miss or be unaware of certain facts.
- Parties may have different perception or meaning of some facts.

Distinguisher of Positions from Interests

- Distinguisher of Positions from Interests.

Creator of Options

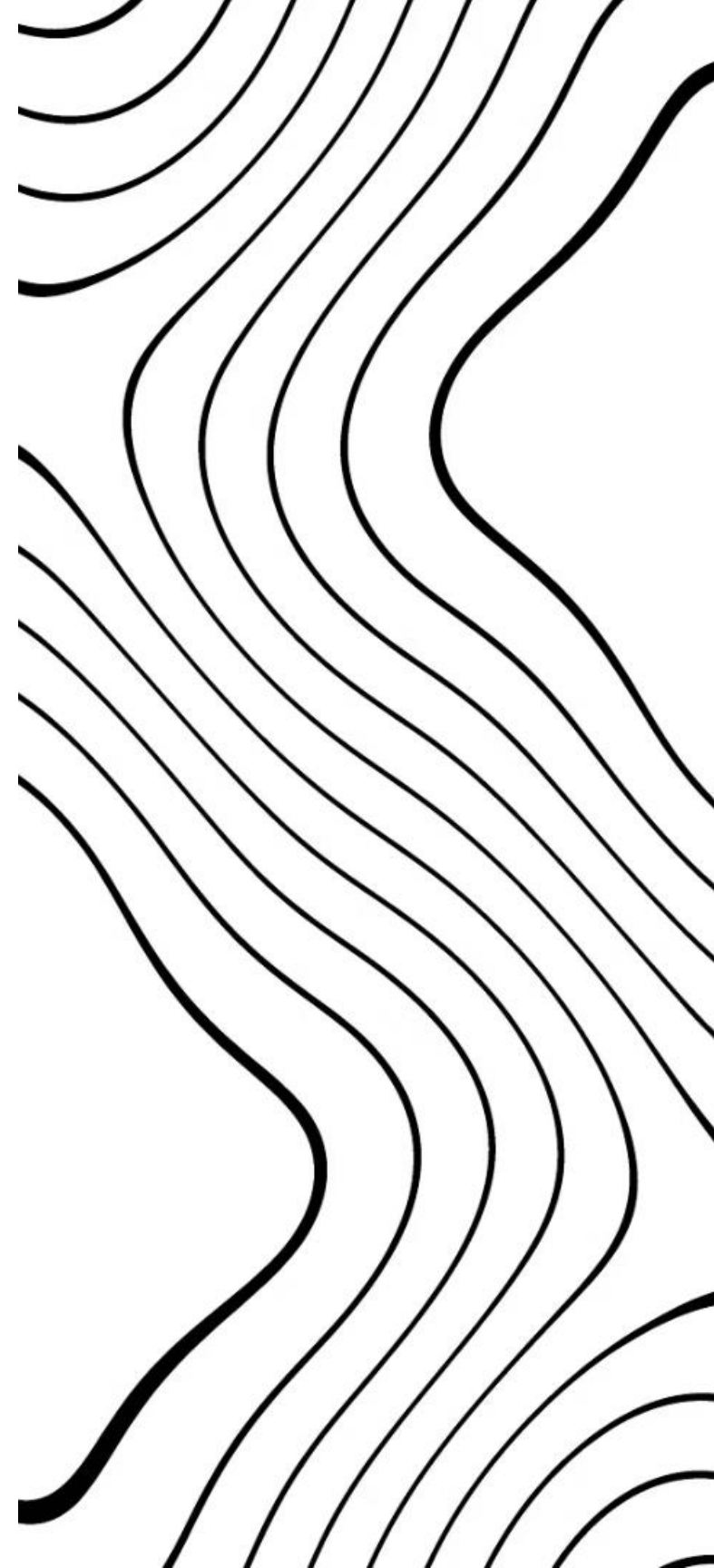
- Creator of Options:
 - Very important function.
 - Must be creatively done because the solution is not to be yours.

Agent of Reality

- Agent of Reality:
 - helps to increase each party's awareness of the other's needs.
 - Helps to build a realistic framework within which they can assess the costs and benefits of resolving the conflict.

Facilitator of Creative Thinking

- Encourages parties to think outside the box.
 - The Nine Dots Exercise



Rationale

Thinking Perspectives

- Within the box – Myopic.
- Outside the box - the bigger picture.
 - Creative and innovative thinking.
 - New ideas are generated.

Convener:

Key Responsibilities

- Establish ground rules.
- Create a positive resolution seeking atmosphere.
- Maintain civility.

Mediator Responsibilities

Closure Process:

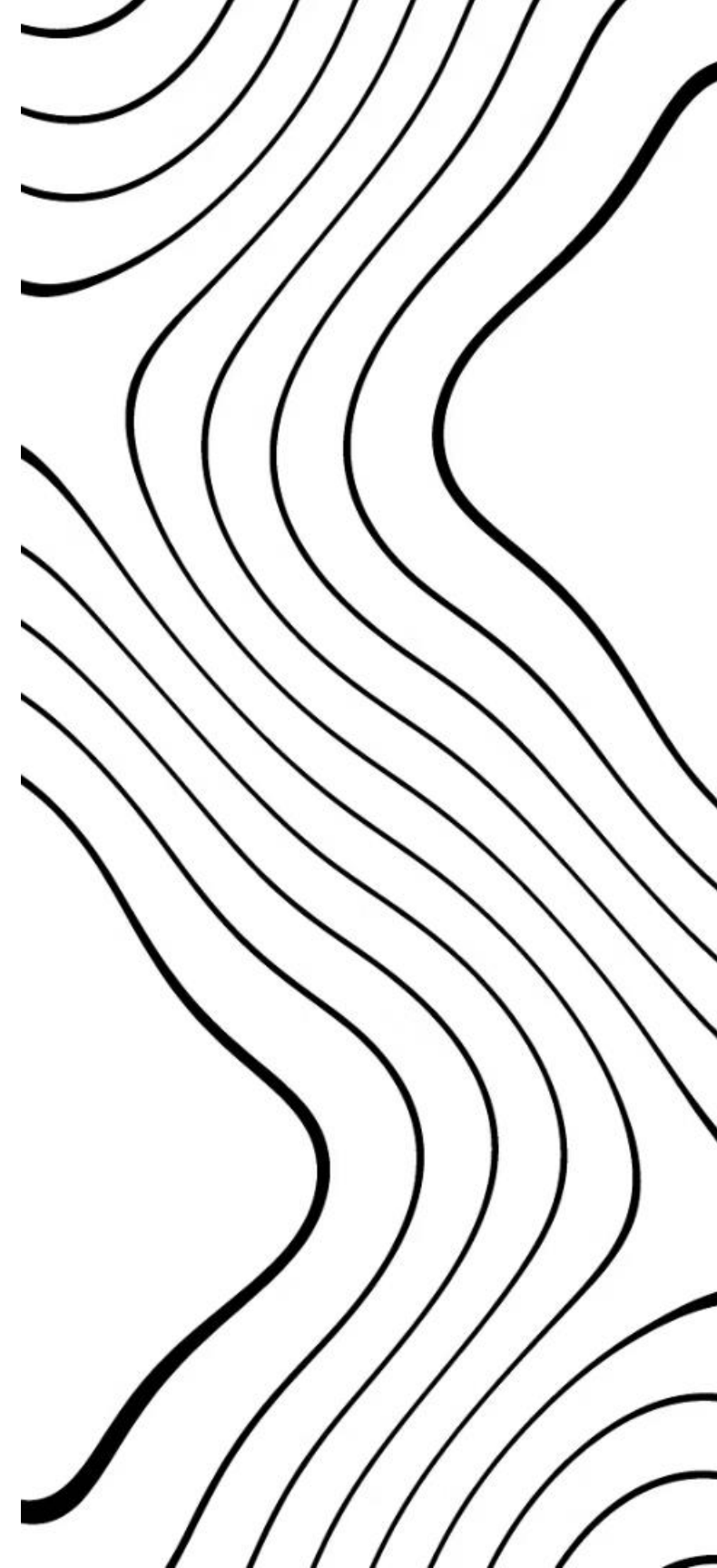
- Ensure closure on individual issues
- Final closure

Ethical Considerations:

- Observe ethical standards on own part (e.g impartiality)

Managing Party Conduct:

- Ensure ethical standards on part of parties (civility)



MEDIATION STAGES (Mediation in Practice)

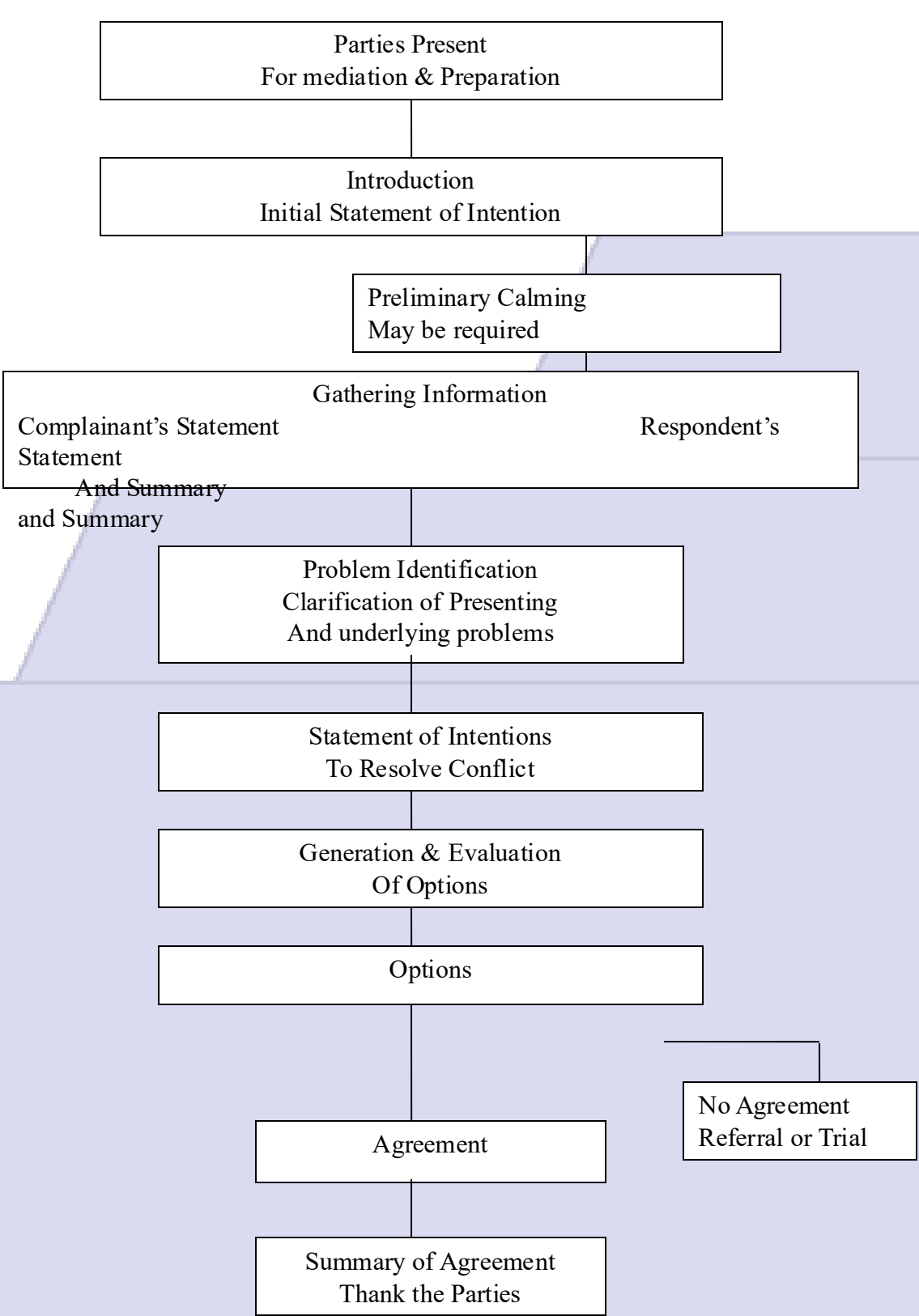
Physical Environment

- Venue.
- Sitting arrangement.

The Introduction Phase

- Objectives of this part.
- Orient the parties to the mediation process.
- Instill trust.
- Begin to obtain information about the dispute and the people involved.

STAGES OF THE
MEDIATION PROCESS



Contents of The Introduction

Opening and Welcome

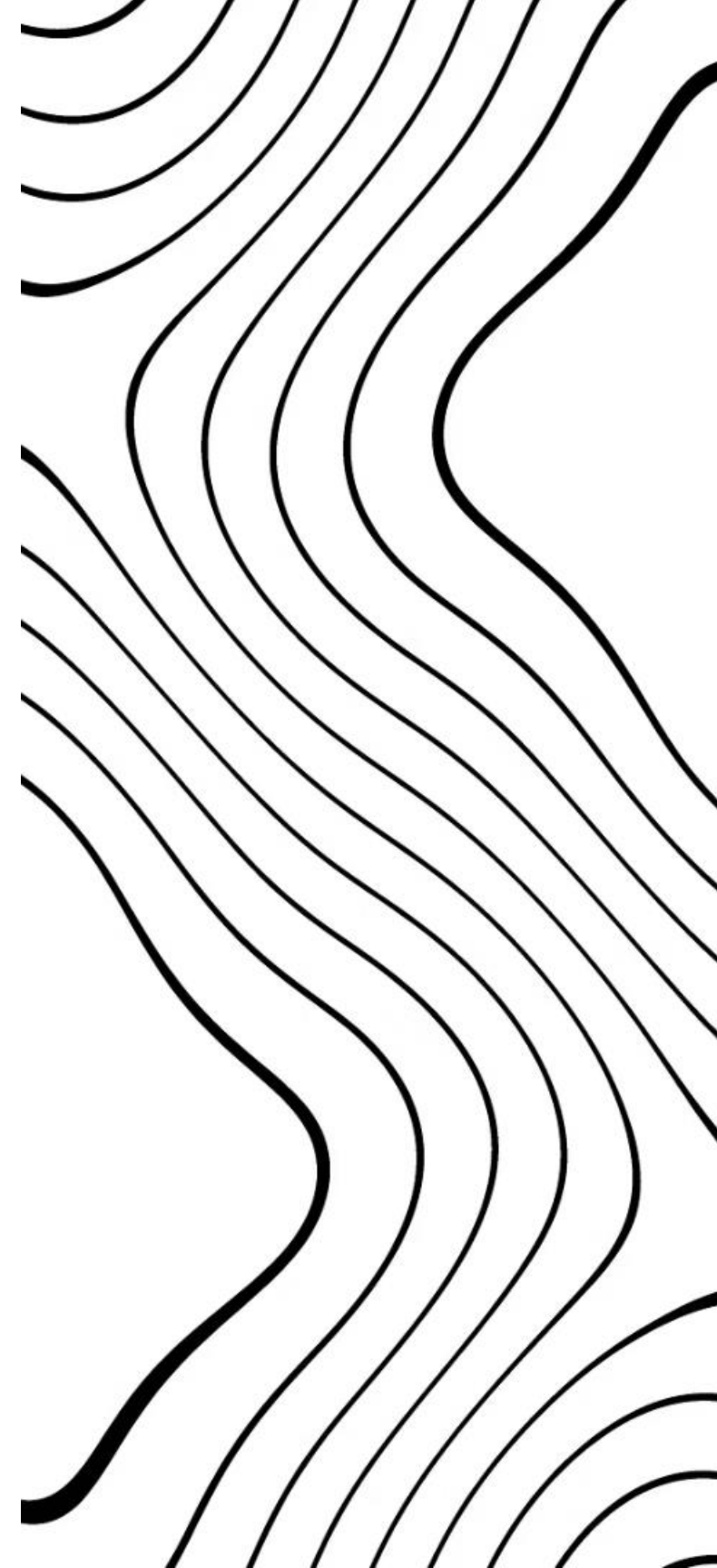
- Opening Statement.
- Welcome the parties.
- Introduction of self, parties and representatives, if any.

Building Trust

- Commendation for deciding to mediate --benefits of mediation
- (building trust and confidence in the mechanism).
- Partial Disclaimer.

Process Explanation

- Explanation of role of mediator & Goal of mediation; its voluntary nature.
- Explanation of the Process.



Confidentiality in Mediation

Mediator's Confidentiality Obligations

- Mediator will not divulge content of mediation outside the parties' sessions.
- Mediator will not testify for or against either party in any forum (Evidence Act).

Documentation Practices

- Mediator's Notes. Only for purpose of keeping track of what is said during sessions.
- Will be destroyed at the end of the mediation process – No Records kept.

Mediation Procedures and Rules

Documentation and Agreements

- Explain that final agreement reached to be written down and signed by all parties and mediator.
- PARTIES TO SIGN AGREEMENT TO MEDIATE (especially in Court connected mediations).

Process Guidelines

- Procedures must be explained.
- Set Ground Rules e.g. insist on Civility.
- QUESTIONS – about the process.

Caucus and Breaks

- Caucus – explain purpose and that either party can request caucus.
- Explain confidentiality of caucus.
- Mediator's Breaks.

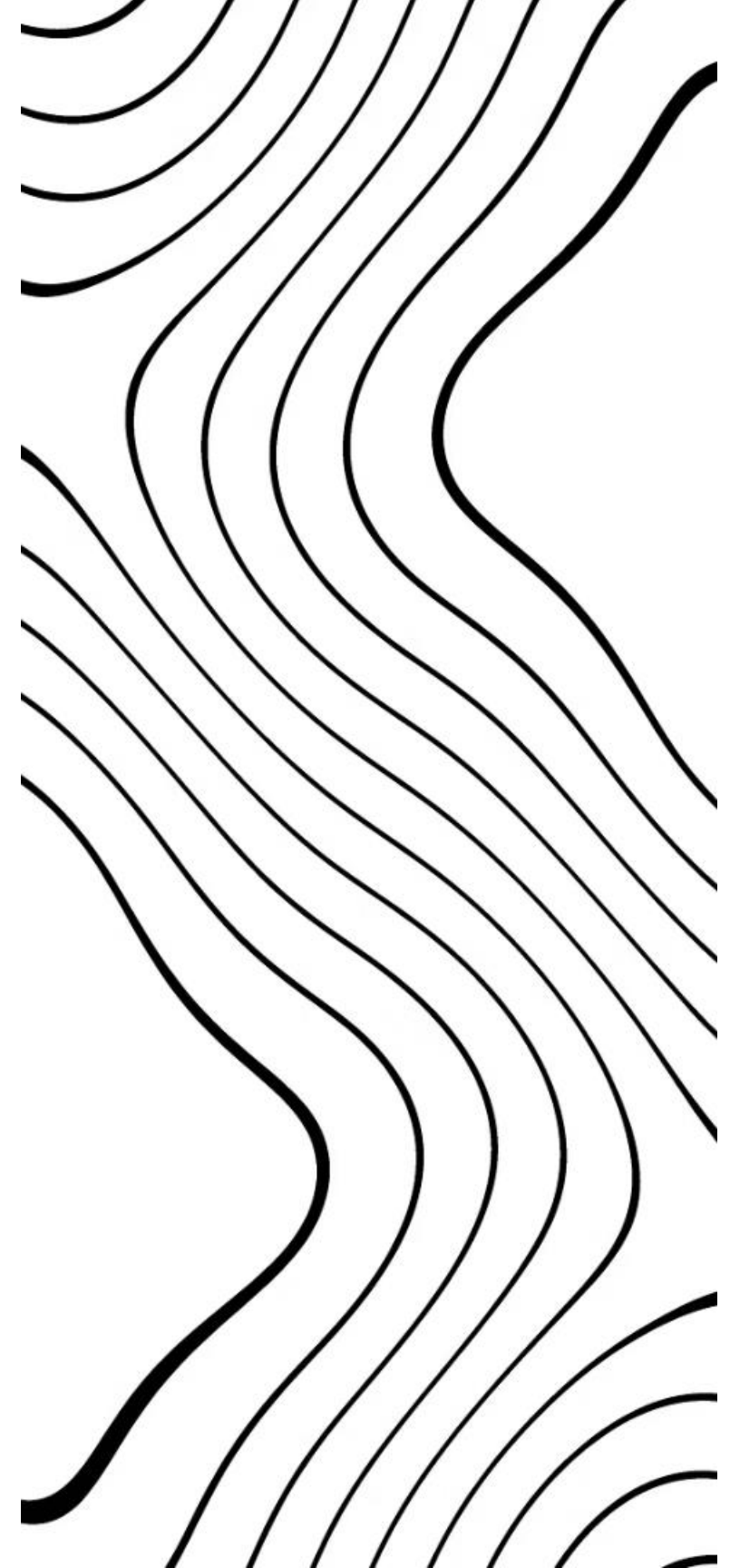
Roles and Responsibilities

- Explain role of lawyers & clients.

MEDIATION PROCESS

Overview of Key Stages

A structured approach to effective conflict resolution



GETTING STARTED

Initial Steps

- Begin with the one who filed the complaint.
- Ventilation.

Process Benefits

- Meaning Its advantage over the court room process.

Party Identification

- Determine the real parties to the issues – whether some others need to be invited as parties.

Termination Considerations

- Abort Mediation for lack of commitment from parties.
- Withdraw as mediator to protect your reputation and integrity.

SUMMARY OF STAGES OF MEDIATION

Opening Phase

- Introduction.
- Parties' initial statements.

Exploration Phase

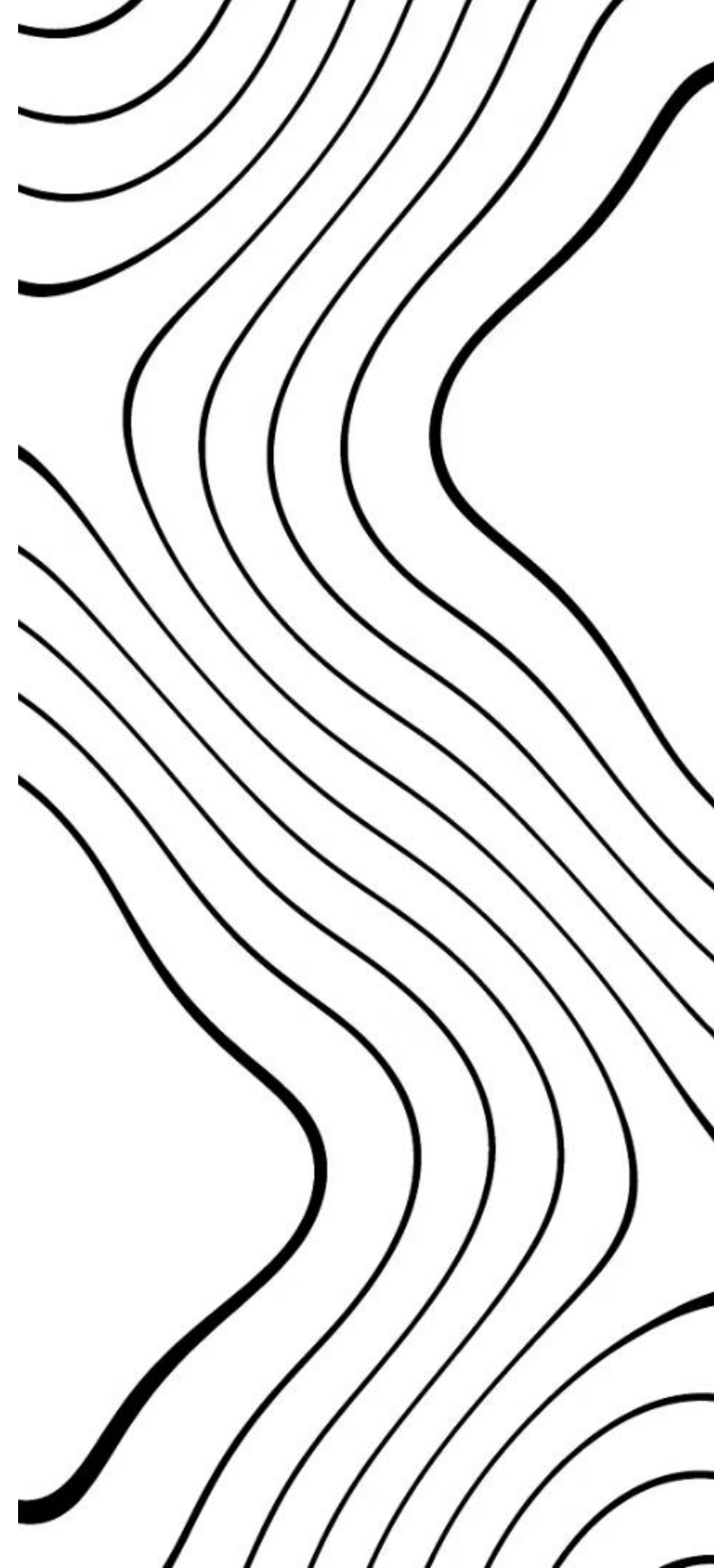
- Information gathering.
- Problem identification & clarification.

Negotiation Phase

- Generation of options.
- Selection of options.

Resolution Phase

- Agreement Building.
- Closure.



FEES

Ethical Considerations

- Some scholars characterize the fixing and payment of fees as an ethical issue.

Proper Fee Fixing Practices

- Fixing of fees should not be used as a tool for aiding corruption among ADR neutrals without relevant correspondence to the complexity and demands of the case being handled.

Legal References

- Ref Act 798, Ss 22, 55(2), 87, 88, 90(4).

Key Sections of the Act

Early Provisions

- Section 68.
- Section 74.
- Section 78.
- Section 79.

Administrative Provisions

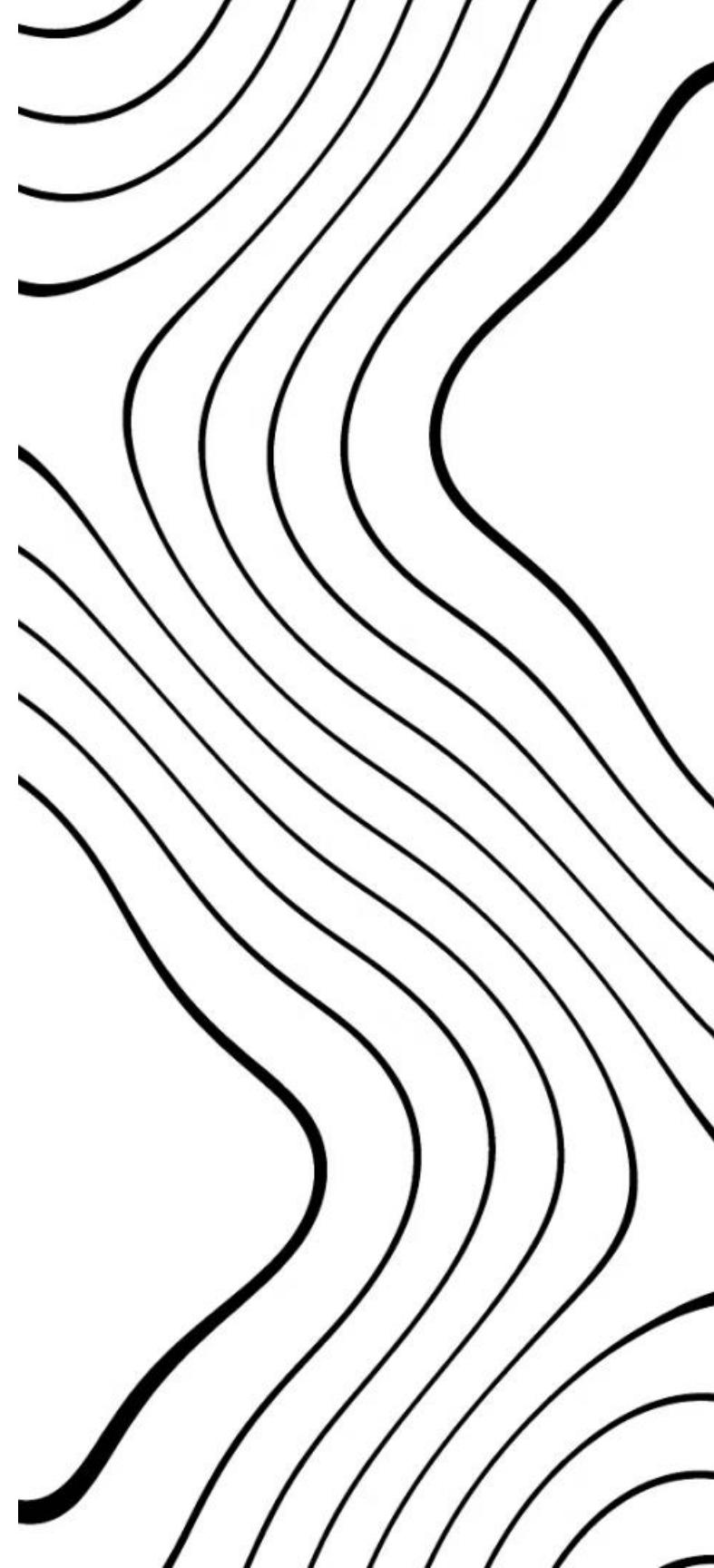
- Section 84 (b).
- Section 85.

Procedural Requirements

- Section 87.
- Section 88.
- Section 90 (4).

Final Provisions

- Section 93.
- Section 98/99.



Thank you Questions & Answers



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